

HOW CAPACITY AFFECTS A COMPANY

Capacity management is critical to ensure, for example, that a manufacturing operation has the right level of resources to work to a production schedule. It affects many areas of the business, as all are interlinked and cost the company money:

- › Factory or office size
- › What and how much equipment is needed
- › Staffing levels
- › Use of labor—for example, shift work
- › Which materials to use, how much/how often to order
- › Inventory (stock) levels
- › Production scheduling
- › Speed and ease of processes
- › Type of information technology used

NEED TO KNOW

- › **Potential capacity** The capacity that can be made available long-term, a factor that affects investment decisions and business growth
- › **Immediate capacity** The maximum potential capacity available in the short term
- › **Effective capacity** The total capacity that is realistically achievable when all resources are being used optimally

Resource focus

The company uses resources as efficiently as possible. Wastage is kept to a minimum, but satisfying demand is hard because work is at full capacity and output cannot rise.

90 million
the number of iPhone 6 units
made by one manufacturer
to meet demand in 2014

Manage capacity—keep stock low

It produces stock according to demand and holds low inventory to minimize unnecessary spending and storage costs.



Demand not satisfied

Company is unable to meet surges in demand; customers may have to wait while production catches up, and business may be lost to competitors.

